Post-Merger EPS of Acquirer

who gains, who dilutes?

Advanced Financial Management

In simple words *After a share-swap merger, total earnings are divided by the old shares plus the new shares issued to the target.*

1 Post-merger EPS

Combined earnings after tax of both companies divided by total shares of the acquirer after issuing new shares to target holders.

Use combined PAT, not one company's

2 Exchange ratio

Number of acquirer shares given for each share of the target company, fixed by the deal terms.

Target shares x ratio = new shares

1. New shares issued = target's shares x exchange ratio
2. Combined earnings = acquirer's earnings + target's earnings (+ synergy, only if given)
3. If the deal is at a higher P/E than acquirer's own, EPS usually falls (dilution)
4. Compare post-merger EPS with the acquirer's old EPS to see gain or dilution



Swipe for the formula →

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THE EPS FORMULAS

Post-merger EPS (share exchange)

swap shares, then divide

New shares issued

$$N = S_B \times R$$

N = new shares of acquirer issued; S_B = target's shares; R = shares of acquirer per 1 target share

Post-merger EPS

$$\text{EPS (POST)} = \frac{E_A + E_B + \text{Synergy}}{S_A + N}$$

E_A, E_B = earnings after tax of acquirer, target; S_A = acquirer's existing shares; N = new shares issued

POOL THE PROFITS, POOL THE SHARES! EPS rises only if earnings added per new share issued exceed the acquirer's old EPS.

Swipe for a memory trick →

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STUDY TRICK

Post-merger EPS (share exchange)

swap, add, divide

SHARES IN, PROFITS IN, DIVIDE

Add the new shares to old shares, add target profit to acquirer profit, then divide the total profit by the total shares.

HOW TO ATTEMPT IT

1 Find new shares = $S_B \times R$ → 2 Total shares = S_A + new shares →

3 Combined PAT (add synergy if given) →

4 EPS = combined PAT ÷ total shares → 5 Compare with old EPS of A

EXAM TIP

If the question gives a purchase price and market price of acquirer, first find the shares issued as price ÷ market price. Show each step.

DOUBT BUSTER

Should I add target's old shares to the total? No. Target's shares are cancelled in the swap. Only the acquirer's old shares and the new shares issued remain.

Swipe for common mistakes →

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COMMON MISTAKES

Post-merger EPS (share exchange)

don't mix the two EPS

✗ Adding target's old shares to the acquirer's shares

✓ Total shares = acquirer's old shares + new shares issued to target holders only.

✗ Using only the acquirer's earnings in the numerator

✓ Use the combined earnings after tax of both companies, plus synergy only if given.

✗ Ignoring the exchange ratio direction

✓ Ratio is acquirer shares per 1 target share; multiply it by target's shares.

TOMORROW'S CA FINAL MCQ TESTS THIS! Revise it tonight, then try the MCQ.

Save this for revision!

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